

MID Term Material

Q. Explain two components of Required Rate of Return?

5 marks

Answer

Required rate of return, is the sum of two components: the expected dividend yield on the stock and the expected growth rate.

Dividend Yield:

- A financial ratio that shows how much a company pays out in dividends each year relative to its share price.

Dividend yield = Annual dividend / current market price per share

Growth Rate:

- Most investment research deals with predicting future earnings.
- A future earning growth rate is unobservable.
- Most analysts use several methods to estimate this statistic to determine likely range for the value rather than a single number.

Q. How will you perform technical analysis in Dow Theory? 3 marks

Answer

This theory was first stated by Charles Dow in a series of columns in the WSJ between 1900 and 1902.

- **Primary Trend**
 - Called “the tide” by Dow, this is the trend that defines the long-term direction (up to several years). Others have called this a “secular” bull or bear market.
- **Secondary Trend**

Called “the waves” by Dow, this is shorter-term departures from the primary trend (weeks to months). These can occur between a major trend

Vu7866.Com

Day to day fluctuations

- Little ripples between bigger waves and bigger tides.
- Small intraday ripple affects or small changes do not matter in the bigger scheme of affairs.

Q. Describe top-down valuation? marks 3

Answer

- **Analyze economy-stock market $\Rightarrow$ industries $\Rightarrow$ individual companies.**
 - **Need to understand economic factors that affect stock prices initially.**
 - **Use valuation models applied to the overall market and consider how to forecast market changes.**
 - **Stock market's likely direction is of extreme importance to investors.**
 - **Should also take a global perspective because of linkages.**

Q. A Company pay dividend \$ 0.60. Stock price is \$12. Growth rate is 2 %. Required rate of return is 6 %, what will be the stock value? is it overvalued or undervalued? 5 marks

Another Paper:

Why you as investor would prefer investing in money market mutual funds(3)

Answer

- **Money market mutual funds invest in portfolio of money market securities.**
 - **Taxable or tax-exempt.**
 - **Commercial paper important investment.**
 - **Average maturity limit: 90 days.**
 - **Investors pay a management fee but not a sales or redemption charge (load).**
 - **Not insured by the federal government**

Why it is difficult to classify industry(3)

Answer

- **Industries cannot be casually identified and classified.**
 - **Diversified lines of business cause classification problems.**
 - **Industries continue to become more mixed in their activities and less identifiable with on product or service**

Difference b/w bottom approach and top down (5)

Answer

With the bottom-up approach, investors focus directly on a company's basics, or fundamentals. Analysis of such information as the company's products, its competitive position, and its financial status leads to an estimate of the company's earnings potential and, ultimately, its value in the market.

Top Down

- Analyze economy-stock market $\Rightarrow$ industries $\Rightarrow$ individual companies.
 - Need to understand economic factors that affect stock prices initially.
 - Use valuation models applied to the overall market and consider how to forecast market changes.
 - Stock market's likely direction is of extreme importance to investors.
 - Should also take a global perspective because of linkages.

Relationship b/w Technical And Fundamental analysis (5)

Answer

- Fundamental analysts believe securities are priced according to fundamental economic data.
- Technical analysts think supply and demand factors play the most important part.
- We cannot ignore Technical Analysis aspect of analyzing company.
- Technical Analysis complement the Fundamental Analysis.
- Fundamental Analysis is suitable for long term investments.
- Technical Analysis is suitable for short term investments.

Question No: 31 (Marks: 5)

Differentiate between income stocks and penny stocks.

Answer

Income Stock:

By law dividend must be paid out of the company's earning they cannot be paid from borrowed funds. The bottom line profit a firm makes is its net income after taxes (NIAT). The firm's board of directors may pay a dividend from the amount if they believe it to be in the shareholder's best interest. NIAT may be retained in its entirety within the firm the entire amount may be paid out of more typically a portion of these earnings might be retained and a portion paid out. The proportion of NIAT paid as a dividend in the firm's payout ratio. Income stocks are those that have historically paid a larger than average percentage of their NIAT as dividend to their shareholders.

Penny Stocks:

Penny stocks fall into a catch all category that refers to unusually risky specially in expensive share. Shares that sell for less than dollar 1 each would be considered penny stocks.

Question no: 29 (marks: 3)

Outline the rationale for sector rotation?

Answer

Sector rotation is just an outline of how money rotates through our economy in bull and bear cycles <http://www.guerillastocktrading.com/commodities/energy-sector-leads-markets-higher>

- **Similar to stock selection, involves shifting sector weights in the portfolio.**
 - **Benefit from sectors expected to perform relatively well and de-emphasize sectors expected to perform poorly**

An investor could think of larger groups as the relevant sectors, shifting between cyclical, growth stocks, and value stocks. It is quite standard in sector analysis to divide common stocks into four broad sectors: interest-sensitive stocks, consumer durable shocks, capital goods stocks, and defensive stocks. Each of these sectors is expected to perform differently during the various phases of the business and credit cycles.

Question no: 30 (marks: 3)

Keeping in view the business cycle, describe which industries are least sensitive to changes in the economy? Give two examples.

Answer

- **Defensive industries:**
 - **Least affected by recessions and economic adversity**

Examples

Food has long been considered such an industry. People must eat, and they continue to drink beer, eat frozen yogurt, and so on, regardless of the economy. Public utilities might also be considered a defensive industry.

Question no: 31 (marks: 5)

Why is industry analysis valuable?

Answer

To summarize there are two reasons why industry analysis is important. 1. Generally the performance of a company is a function of the performance of the industry. For example if raw material in a particular industry has gone up then all the companies in the industry will get affected. 2. Psychological reasons. If an industry suddenly gets in vogue or if a sudden change in the news is perceived to be good or bad for an industry the price of the stock will be affected mainly from what the average investor believes and most investors will follow industry trends.

Question no: 32 (marks: 5)

State any five objectives of studying balance sheet in fundamental analysis?

Answer

- Highlights the financial condition of a company at a single point in time.
- This is important, the cash flow and income statements record performance over a period of time.
- While the balance sheet is a snapshot in time.
- It lists all of the assets held by a company in addition to the portion of those assets that are financed by debt (liabilities) or equity (retained earnings and stock).
- The analysis of a balance sheet can identify potential liquidity problems.
- These may signify the company's inability to meet financial obligations.
- An investor could also spot the degree to which a company is leveraged, or indebted.

Another Paper:

**what is the difference between a load fund and non-load fund ?
3 marks**

2. why P/E ratios tends to be high when interest rate and inflation is low? 3 marks

Answer

Because P/E ratios and interest rates are indirectly related.

4. why there is a need of technical analysis when fundamental analysis study everything from the overall economy and industry condition to the financial condition and management of companies? 5 marks

Another Paper:

1. What is meant by NAT (Net Asset Value)? (Marks 3)

Answer

Net asset value (NAV) is a term used to describe the value of an entity's assets less the value of its liabilities. The term is most commonly used in relation to open-ended or mutual funds because shares of such funds registered with the U.S. Securities and Exchange Commission are redeemed at their net asset value. However, the term may also be used as a synonym for book value or the equity value of a business. Net asset value may represent the value of the total equity, or it may be divided by the

number of shares outstanding held by investors and, thereby, represent the net asset value *per share*.

2. Why P/E ratio tends to be high, when interest and inflation rates are low? (Marks 5)

4. Keeping in view the business cycle, which type of industry is the most sensitive to economical changes? (Marks 5)

Answer

- **Cyclical industries:**
 - Most affected by recessions and economic adversity.
 - “Bought to be sold”.

Durable goods are a good example of the products involved in cyclical industries. Autos, refrigerators, and stereos, for example, may be avidly sought when times are good, but such purchases may be postponed during a recession, because consumers can often make do with the old units. Durable goods are a good example of the products involved in cyclical industries. Autos, refrigerators, and stereos, for example, may be avidly sought when times are good, but such purchases may be postponed during a recession, because consumers can often make do with the old units. Cyclical are said to be "bought to be sold." When should investors pursue cyclical industries? When the prices of companies in the industry are low, relative to the historical record and P/Es are high. This seems counterintuitive to many investors, but the rationale is that earnings are severely depressed in a recession and therefore the P/E is high, and this may occur shortly before earnings turn around.

Another Paper:

Q#19 Describe the various sources of information available at the Library?(3)

Q#23 Investors should lower the rate of expected return in order to adjust for higher risk in common stock. Do you agree with this statement? Justify

what is the relationship between firms profits and common stock prices that it